

Question

Effect of Paywall Introduction on Newspaper Companies’ Revenues

Newspaper	Total revenue change (\$ in thousands)	Percentage change (%)	Newspaper size
<i>Los Angeles Times</i>	93,966	12.5	large
<i>The New York Times</i>	235,788	20	large
<i>The Denver Post</i>	−3,765	−1	small
<i>Sun Sentinel</i>	−24,899	−11.9	small
<i>Chicago Tribune</i>	94,492	19	large

Digital paywalls restrict access to online content to those with a paid subscription. In an investigation of the effect of paywalls on newspaper company revenues for print and digital subscriptions and advertising, Doug J. Chung and colleagues compared actual outcomes (with a paywall) to control estimates (without a paywall). The researchers concluded that introducing a paywall is generally more beneficial for larger newspapers, which have high circulation and tend to offer a substantial amount of unique online content.

Which choice best describes data from the table that support Chung and colleagues’ conclusion?

Answer

- A. The *Chicago Tribune* and the *Los Angeles Times* had similar total revenue changes, but the *Los Angeles Times* had a smaller percentage change.
- B. The *Los Angeles Times* had a 12.5% revenue change, while the *Chicago Tribune* had a 19% revenue change.
- C. *The New York Times* had a 20% revenue change, while the *Denver Post* had a −1% revenue change.
- D. *The Denver Post* had only a −1% revenue change, which was the smallest percentage change of the selected companies.